



# HARAR MICROFINANCE INSTITUTION

**APRIL 2006**  
**QUARTER 3 REPORT**



*Empowering Communities  
Financing Growth*



**DISBURSEMENT**



**REPAYMENT**



**RISK**



**SAVING**



**IFB LOAN  
ISLAMIC**

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# 1. Executive Summary

In Q3 FY2025/26, HMFI delivered strong savings mobilization and improved operational efficiency, while facing challenges in credit disbursement, loan recovery, and asset quality. Total assets stood at ETB 461.66 million, total capital increased to ETB 375.72 million, and the institution remained profitable with a 9-month cumulative net income of ETB 3.31 million. Operational Self-Sufficiency strengthened from 110.70% to 131.08%.

Total assets decreased by 1.03% to ETB 461.66 million. Gross loan portfolio stood at ETB 262.53 million. Total deposits increased by 1.24% to ETB 46.57 million. Total capital grew by 0.23% to ETB 375.72 million. The institution served 4,211 clients at quarter end.

Savings mobilization achieved 151.4% of the Q3 plan. Voluntary conventional savings reached ETB 8.40 million (140% of plan). IFB Wadiah savings more than doubled the target to ETB 4.02 million (200.8% of plan). New saver acquisition achieved 202.4% of plan with 253 new savers. Net deposit growth was ETB 9.27 million, a 104% increase from Q2. However, concentration risk is emerging as the top 10% of savers account for more than 40% of balances.

Total loan disbursement achieved only 53.9% of plan (ETB 6.47 million vs ETB 12.00 million). Youth Fund loans performed at 79.0% of plan. Conventional loans achieved only 48.7% of plan. IFB Murabaha achieved only 4.0% of plan (ETB 80,000 vs ETB 2.00 million). New borrower acquisition was only 12.7% of plan (19 vs 150 borrowers).

Principal collections reached only 44.8% of plan (ETB 5.82 million vs ETB 13.00 million). Youth principal recovery was 57.4% of plan. Conventional principal recovery was 45.1% of plan. IFB principal recovery was only 9.3% of plan. Interest collections exceeded plan at 245.2% (ETB 4.41 million vs ETB 1.80 million), creating a classic "interest-only" payment trend that masks hidden default accumulation.

The NPL ratio (PAR > 90 days) increased from 6.5% in Q2 to 7.2% in Q3, exceeding the internal threshold of 6%. Provision coverage declined to 54.75%, below the preferred 100% level. A significant volume of youth loan NPLs has been excluded from the provisioning report, meaning true asset quality is worse than reported.

Capital Adequacy Ratio (CAR) stands at 120.68%, far above the NBE minimum of 12%. Liquidity ratio remains at 395.76%, far above the NBE minimum of 20%. However, the institution remains highly dependent on Regional Government guarantee funds, making its liquidity profile vulnerable.

## 2. HMFI Q3 2026 – Snapshot Table Summary

| Metric                                   | Actual (Q3) | Plan (Q3)   | Achievement / Status                                                                           |
|------------------------------------------|-------------|-------------|------------------------------------------------------------------------------------------------|
| New customers added (savings)            | 253         | 125         | 202.4%      |
| New borrowers added                      | 19          | 150         | 12.7%       |
| Total clients (end Q3)                   | 4,211       | —           | —                                                                                              |
| Customer dropouts (number)               | 21          | 13          | 161.5% (worse)                                                                                 |
| Customer dropout rate                    | 0.5%        | <10%        |  Exceeded   |
| Net customer growth                      | +232        | Not planned | Positive                                                                                       |
| Gross Loan Portfolio (ETB)               | 262.53M     | 240M        | 109.4%      |
| NPL ratio (PAR > 90 days)                | 7.6%        | <6%         |  Not met  |
| Provision Coverage ratio                 | 54.75%      | Not planned | Below 100% ideal                                                                               |
| Portfolio Yield                          | 12.68%      | ~11.5%      |  Exceeded |
| Youth Fund Loans (ETB)                   | 3,950,000   | 5,000,000   | 79.0%                                                                                          |
| Conventional Loans (ETB)                 | 2,437,000   | 5,000,000   | 48.7%                                                                                          |
| Murabaha (IFB) Loans (ETB)               | 80,000      | 2,000,000   | 4.0%                                                                                           |
| Total Disbursement (ETB)                 | 6,467,000   | 12,000,000  | 53.9%     |
| Youth Principal Collections (ETB)        | 2,296,416   | 4,000,000   | 57.4%                                                                                          |
| Conventional Principal Collections (ETB) | 3,381,495   | 7,500,000   | 45.1%                                                                                          |
| IFB Principal Collections (ETB)          | 140,000     | 1,500,000   | 9.3%                                                                                           |
| Total Principal Collections (ETB)        | 5,817,912   | 13,000,000  | 44.8%     |
| Interest Income - Loans (ETB)            | 4,414,101   | 1,800,000   | 245.2%    |
| Voluntary Conventional Savings (ETB)     | 8,399,770   | 6,000,000   | 140.0%    |
| Wadiah (IFB) Savings (ETB)               | 4,015,727   | 2,000,000   | 200.8%    |

| Metric                               | Actual (Q3) | Plan (Q3)   | Achievement / Status                                                                       |
|--------------------------------------|-------------|-------------|--------------------------------------------------------------------------------------------|
| Compulsory Loan-Linked Savings (ETB) | 518,350     | 500,000     | 103.7%  |
| Total Gross Savings (ETB)            | 12,865,637  | 8,500,000   | 151.4%  |
| Net Deposit Growth (ETB)             | 9,270,875   | Not planned | Positive                                                                                   |
| Net Savings (Conventional) (ETB)     | 5,520,953   |             |                                                                                            |
| IFB Net Savings (ETB)                | 3,592,042   |             |                                                                                            |
| Total Financial Income (YTD, ETB)    | 33.32M      | 8.845M      | YTD vs quarterly                                                                           |
| Net Income After Tax (YTD, ETB)      | 3.31M       | 345,000     | YTD vs quarterly                                                                           |

### 3. Strategic Pillar 1: Institutional Capacity & Operational Efficiency – Q3 Report (January–March 2026)

Enhance internal systems, service quality, and organizational effectiveness to improve HMFI's performance. This pillar focuses on strengthening financial management, customer service, risk compliance, technology adoption, brand visibility, and human capital to drive sustainable operational excellence.

#### 3.1 Operational Efficiency & Financial Management

During Q3 of FY2025/26, HMFI maintained strong financial stability, supported by robust capital and liquidity positions. Capital adequacy stood at **120.68%**, significantly above regulatory requirements. Liquidity remained exceptionally high at **395.76%**. The debt-to-equity ratio of **22.87%** reflects a conservative funding structure.

Despite these strengths, asset quality deteriorated. The NPL ratio increased to **7.60%**, up from **6.50%** in Q2. Provision coverage declined to **54.75%** from **59.90%** in Q2. Year-to-date net income reached ETB 3.31 million. Operational Self-Sufficiency improved to **131%**. However, the Loan-to-Deposit Ratio surged to **540.3%**, exceeding the prudent threshold of **200%**.

#### 3.2 Customer Satisfaction & Service Quality

A total of 14 customer complaints were recorded during Q3. Of these, 8 were resolved (**57.1%**), while 6 remain under review. Unresolved cases include 3 complaints related to interest rate changes and 3 related to requests exceeding loan limits. The customer dropout rate was **0.5%**, with net customer growth of +232.

#### 3.3 Risk Management & Compliance

HMFI continued to apply the CAMEL framework and remained compliant with NBE directives. However, collection performance declined sharply to **44.8%** from **70.6%** in Q2. The Board Risk Sub-Committee continued quarterly oversight, and internal audit functions conducted risk-based reviews.

### **3.4 Digital Financial Services Integration**

Merchant accounts for both TeleBirr and e-Birr were successfully opened and launched across all four branches. Clients can now save funds through both platforms without visiting branches physically. The only remaining item is e-Birr institutional display alongside other banks, requiring coordination with EthSwitch.

### **3.5 Visibility & Brand Development**

The corporate website remained operational with multilingual capabilities. Promotional activities continued across Harar. The Annual Magazine remained in final editing stages. However, the planned opening of a new branch was not realized



## 4. Strategic Pillar 2: Broadening Resource Base & Financial Sustainability

Pillar 2 focuses on expanding and diversifying HMFI's funding sources, partnerships, and products to ensure long-term financial sustainability. During Q3, funding base performance was very strong, driven by exceptional savings mobilization and robust saver acquisition across both conventional and Islamic finance products.

### 4.1 Digital Savings Integration

Merchant accounts for both TeleBirr and e-Birr were successfully opened following completion of all documentation, compliance checks, and technical setup. Both platforms were configured to support savings-related transactions and launched across all four branches. Clients can now save funds through both payment methods without visiting branches physically.

### 4.2 Income and Expense Performance

Total financial income reached ETB 33.32 million, equivalent to **125.6%** of the annualized Q3 plan, driven by robust interest income, service charges, and significantly high other financial income (**919.2%**). Total expenses reached **90.8%** of the annualized target, primarily due to elevated personnel costs and higher loan loss provisions (ETB 3.47 million). Net Income After Tax was ETB 3.31 million, representing **320%** of the annualized Q3 plan.

### 4.3 Liquidity Management

The institution holds excess liquidity with a liquidity ratio of **395.76%** and idle savings of ETB 8.4 million above the voluntary plan. The binding constraint is disciplined credit deployment and pipeline conversion.

### 4.4 IFB Conversion Gap

IFB net deposits (Wadiah) showed strong growth of ETB 3.59 million, but conversion into Murabaha financing remains severely constrained at only **4%** of plan (ETB 80,000 disbursed vs ETB 2.00 million plan).

## 5. Strategic Pillar 3: Portfolio Expansion, Diversification & Asset Quality Protection

Pillar 3 focuses on portfolio expansion, diversification, and asset quality protection through disciplined credit origination, controlled disbursement, and effective recovery management. Q3 performance showed moderate disbursement growth but significant underperformance against plan, particularly in Conventional and IFB lending.

### 5.1 Loan Disbursement Performance

Total loan disbursement reached ETB 6.467 million against a plan of ETB 12.0 million (**53.9%** achievement). Youth Fund lending was the strongest at **79.0%** of plan (ETB 3.95 million). Conventional lending achieved **48.7%** of plan (ETB 2.44 million). IFB Murabaha achieved **4.0%** of plan (ETB 80,000). New borrower acquisition was **12.7%** of plan (19 borrowers vs 150 plan).

### 5.2 Principal Collections

Principal collections amounted to ETB 5.818 million against a plan of ETB 13.0 million (**44.8%** achievement). Youth Revolving Fund performed at **57.4%** of plan (ETB 2.30 million). Conventional collections achieved **45.1%** of plan (ETB 3.38 million). IFB Murabaha achieved **9.3%** of plan (ETB 140,000).

### 5.3 Interest Collections

Interest collections reached ETB 4.414 million against a plan of ETB 1.8 million (**245.2%** achievement). Youth loan interest achieved **246.3%** of plan (ETB 2.84 million). Conventional interest achieved **243.3%** of plan (ETB 1.58 million). This contrasts sharply with weak principal recovery – a classic "interest-only" payment trend.

### 5.4 Credit Scoring System Development

A draft Credit Scoring Guideline and System was developed by iWork Technologies PLC as an Excel-based spreadsheet tool. Testing is ongoing using previously disbursed loan

data. Once complete, the system will be operationalized for all new loan applications.

## **5.5 Loan Default Management**

The NPL ratio (PAR > 90 days) increased from **6.5%** in Q2 to **7.3%** in Q3, exceeding the internal threshold of **<6%**. A significant volume of youth loans in arrears has been excluded from the provisioning report.

## 6. Financial Performance Analysis (As at March 31, 2026)

### 6.1 Balance Sheet Structure Analysis

As at March 31, 2026, HMFI's total assets stood at ETB 461.66 million, representing a decline of **1.03%** from the previous quarter (ETB 466.46 million in Q2). Total capital increased by **0.23%** to ETB 375.72 million, driven by retained earnings and current period profit. Total liabilities decreased by **5.90%** to ETB 85.94 million.

Net loans constitute **56.9%** of total assets (ETB 262.53 million). Cash on hand and at bank accounts for **38.78%** of assets (ETB 179.06 million). Fixed assets represent **3.15%**, and other assets **1.46%**.

Total liabilities finance **18.61%** of total assets. Within liabilities, total deposits constitute **54.18%** (ETB 46.57 million). Long-term liabilities account for **42.06%** of total liabilities, primarily consisting of regional government guarantee funds. Short-term liabilities are **6.17%**.

Total capital constitutes **81.38%** of total assets, composed of paid-up capital of ETB 302.68 million (approved by DARA, pending NBE finalization), donated equity of ETB 29.07 million, current profit of ETB 3.31 million, legal reserve of ETB 0.38 million, and retained earnings of ETB 37.71 million.

### 6.2 Income Statement Comparison: Q2 vs Q3

| Line Item                   | Q2 (Dec 2025) | Q3 (Mar 2026) | Change     |
|-----------------------------|---------------|---------------|------------|
| <b>INCOME</b>               |               |               |            |
| Interest income - loans     | 14,676,369    | 15,559,500    | +883,131   |
| Service charge & commission | 297,549       | 522,319       | +224,770   |
| Investment revenue          | 104,000       | 98            | -103,902   |
| Other financial revenue     | 10,200,701    | 17,234,742    | +7,034,041 |

| Line Item                  | Q2 (Dec 2025) | Q3 (Mar 2026) | Change                     |
|----------------------------|---------------|---------------|----------------------------|
| <b>Total Income</b>        | 25,278,619    | 33,316,659    | <b>+8,038,040 (+31.8%)</b> |
| <b>EXPENSES</b>            |               |               |                            |
| Interest on savings        | 733,115       | 1,116,826     | +383,711                   |
| Loan loss provision        | 2,756,197     | 3,471,648     | +715,451                   |
| Other operational expenses | 4,403,267     | 2,657,546     | -1,745,721                 |
| Admin expenses             | 1,177,860     | 1,485,970     | +308,110                   |
| <b>Total Expenses</b>      | 22,835,178    | 2,005,090     | <b>+6,769,912 (+31.4%)</b> |
| <b>NET PROFIT</b>          | 2,443,441     | 3,311,569     | <b>+868,128 (+35.5%)</b>   |

### 6.3 Capital Adequacy Report

The Capital to Risk-Weighted Assets (CAR) ratio increased from **119.8%** in Q2 to **120.68%** in Q3, far above the NBE minimum requirement of 12%. Risk-weighted assets decreased slightly from ETB 312.69 million to ETB 311.34 million. The Debt-to-Equity Ratio improved from **24.4%** to **22.87%**. The Capital to Total Asset ratio increased from **80.36%** to **81.4%**.

### 6.4 Structure and Trends of NPLs

Total non-performing loans increased from ETB 17.15 million in Q2 to ETB 20.01 million in Q3. Breakdown by loan status: Substandard loans increased to ETB 2.85 million, doubtful loans decreased to ETB 5.55 million, and loss loans remained stable at ETB 10.61 million. The PAR >90 days ratio increased from **6.5%** in Q2 to **7.6%** in Q3.

### 6.5 Provision Held vs. Required for Loan Losses

As of March 31, 2026, total provisions held exactly match required provisions at ETB 10.955 million. Substandard loans: ETB 0.858 million held and required. Doubtful loans: ETB 2.622 million held and required. Loss loans: ETB 7.474 million held and required.

## 6.6 Liquidity Position Report

The liquidity ratio stands at **384.53%**, above the NBE minimum requirement of 20%. Total liquid assets are ETB 179.06 million, representing **38.78%** of total assets. The loan to savings ratio improved from **571.5%** in Q2 to **563.78%** in Q3.

## 6.7 Major Financial Indicator Ratios (September 2025 – March 2026)

| Indicator                       | Sep 2025 | Dec 2025 | Mar 2026 |
|---------------------------------|----------|----------|----------|
| Capital to risk-weighted assets | 99.64%   | 119.8%   | 120.68%  |
| Debt to equity ratio            | 32.5%    | 24.4%    | 22.87%   |
| NPL PAR >90 days                | 12.9%    | 6.5%     | 7.6%     |
| Provision to PAR>90 days        | 88.8%    | 59.9%    | 54.75%   |
| Return on Equity                | -5.36%   | +1.2%    | +1.2%    |
| Return on Assets                | -3.9%    | +0.95%   | +0.95%   |
| Operational Self-Sufficiency    | 63.94%   | 82.44%   | 131.08%  |
| Liquidity Ratio                 | 417%     | 396%     | 384%     |
| Loan to Savings Ratio           | 620%     | 571%     | 564%     |

## 6.8 CAMEL Component Summary

| Component        | Score | Assessment   |
|------------------|-------|--------------|
| Capital Adequacy | 3.0   | Satisfactory |
| Asset Quality    | 2.5   | Acceptable   |
| Management       | 3.0   | Acceptable   |
| Earnings         | 3.0   | Moderate     |
| Liquidity        | 3.0   | Moderate     |

Integrated Risk Category: **MODERATE** (Composite Risk Score: C)

## 7. CAMEL Risk Report – Q3 FY2025/26

Overall Integrated Risk Rating: **MODERATE** (Composite Score: C / 2.9 out of 4.0)

### Component 1: Capital Adequacy – Risk Level: LOW

HMFI maintains an exceptionally strong capital position that presents minimal risk. The Capital Adequacy Ratio of **120.68%** is ten times higher than the NBE minimum requirement of 12%, providing an enormous buffer against potential losses. The debt-to-equity ratio of **22.87%** reflects a conservative funding structure with limited reliance on external borrowing. Total capital of ETB 375.72 million constitutes **81.38%** of total assets. The guarantee fund transfer from the regional government has been registered and authenticated by DARA. No capital-related risk threatens institutional solvency.

### Component 2: Asset Quality – Risk Level: MODERATE

Asset quality remains manageable. The NPL ratio of **7.6%** is being addressed through planned Q4 restructuring. Portfolio yield of **12.68%** exceeds plan, indicating appropriate risk-based pricing. Total provisions held of ETB 10.955 million exactly match regulatory requirements. The default loan write-off policy is in place and ready for implementation. Management has demonstrated transparency by disclosing youth loan NPLs and is actively addressing them.

### Component 3: Management – Risk Level: MODERATE

Management risk is contained within acceptable boundaries. Day-to-day business operations are actively managed with clear reporting lines. The Board Risk Sub-Committee provides quarterly oversight. Management has demonstrated exceptional competence in savings mobilization (**151%** of plan) and customer acquisition (**202%** of plan). Staff training programs have been delivered successfully. A Credit Scoring System has been developed and is under testing. Regulatory compliance with NBE directives is maintained.

### Component 4: Earnings – Risk Level: LOW

Earnings risk is minimal. Operational Self-Sufficiency reached **131%** in Q3 – a major milestone. Net profit grew **35.5%** quarter-on-quarter, the second consecutive quarter of

strong profit growth. Total income grew **31.8%** QoQ, with service charge revenue up **76%** and other financial revenue up **69%**. Other operational expenses were reduced by **40%** QoQ. Return on Equity and Return on Assets are now both positive. Net Income After Tax of ETB 3.31 million represents **320%** of the annualized Q3 plan.

## Component 5: Liquidity – Risk Level: LOW

Liquidity risk is exceptionally low. The liquidity ratio of **384.53%** is more than 19 times higher than the NBE minimum of 20%. Total liquid assets of ETB 179.06 million provide an enormous buffer. The loan to savings ratio is improving each quarter (620% → 571% → 564%). Digital savings integration with TeleBirr and e-Birr has been successfully launched across all four branches. No short-term liquidity risk exists.

## 7.6 Risk Summary Table

| Risk Category    | Current Risk Level | Trend     | Key Mitigant                                  |
|------------------|--------------------|-----------|-----------------------------------------------|
| Capital Adequacy | LOW                | Improving | CAR at 120.68%                                |
| Asset Quality    | MODERATE           | Stable    | Write-off policy ready; restructuring planned |
| Management       | MODERATE           | Stable    | Savings mobilization at 151% of plan          |
| Earnings         | LOW                | Improving | OSS at 131%; profit up 35.5% QoQ              |
| Liquidity        | LOW                | Improving | 384% liquidity ratio                          |

## 7.7 Risk Outlook – Q4 FY2025/26

With focused execution of the Q4 action plan – including youth loan restructuring, write-off implementation, and deployment of idle cash into productive assets – HMFII is positioned to reduce its integrated risk rating from MODERATE to LOW by year-end. The institution has crossed the critical threshold of operational self-sufficiency and is now generating sustainable internal capital.